

The Dependency Theory

Discontentment with the modernization theory in the 1950s precipitated new strands of thinking which resulted in the dependency theory.

Dependency theory; came as a critical reaction to the conventional approaches to the modernization theory to economic development.

Rostow's model: conventional approach

⇒ Moderniza

→ Modernization theory is misleading in that they fail to articulate the true relationship between the developed world and the poor regions of the world.

Modernization theory distorts the truth about the motive of the developed countries on their former colonies.

Arguments of Dependency theory:

1) Role of colonization
It is impossible to understand the problems of Africa or other countries without considering the historical context of colonization.

When Europe was in the "take-off" stage of the Rostow model, before it started industrialization, it colonized many regions around the world.

Europe could extract resource and labor from its colonies easily without any significant cost. This helped to grow their industrialization process.

According to modernization theory, poor countries should follow the footsteps of the modern countries (Europe). But Europe has a historical context of colonization which is completely ignored in modernization theory.

So, if the poor countries want to modernize and follow the footsteps of modern countries to ensure heavy industrialization, they must colonize countries to extract resources and labor for free or trade slaves like UTA. These are not possible in present days context.

~~The~~ Since the modernization theory, e.g.,
Rostow models does not consider
the historical context of colonization,
the developing countries today can
not simply follow the Rostow
models and reach higher stages
of affluence step-by-step.

The essential purpose of
colonization was to repatriate the
profits made within the colonies
to their home land. This is a
systematic expatriation of the surplus
values created by the colony's labor.

Hence the "development" of Europe can be viewed as part of the same dialectical processes that underdeveloped the colonies.

Underdevelopment is not an original state rather it's a result of systematic economic capture of resources by the West.

ii) Human capital outflow continues

In 15th-16th century, African slaves were shipped to Europe/USA to work in European on USA plantation. But the extraction of human resources did not end with colonization. It still continues. Human capital outflow is continued even after colonization.

After colonization, it is continued in

the form of "Brain Drain." It is
From 1994 to 2004, 1.6 million
South African people in skilled,
professional and managerial occupations
have emigrated to USA.

During this period, South Africa lost
25% of its graduates to the USA
alone.

⇒ South Africa accounts for 9.7%
of all international medical graduates
practicing in Canada (2009).

⇒ With human capital outflow, developing
countries will suffer from the
shortage of professionals (doctors, nurses,
engineers, etc).

→ Developing countries then become dependant on developed nations, for to fill up the demand for this professionals.

iii) Western countries or former colonizers decided the level of development for

poor countries

Too little development of the developing country limits the amount of surplus value or profit produced in that country.

~~Infrastructure~~ Lack of infrastructural

development hampers resource extraction.

That is the reason British colonizer built railroads from Senegal to Mali. Indian railway was also built for the same reason.

WB, IMF prescribes Bangladesh for infrastructural development as well. Loans are available for building ^{the} roads, bridges, ports.

Because infrastructural development is important for trade

Western MNCs make ^{huge} profit ^{by} using our cheap labor.

Powerplant is also financed by WB, ADB, IMF
Because electricity is also related to trade as it is required for industries.

Transport, electricity and ports are

necessary to have in a developing country in order to facilitate trade.

Trade will benefit developed countries' MNCs.

Too much development of the developing country threatens the dominant position of the West developed countries.

If a poor country is too much developed, they may not require consultant, engineer, technology and loan from the Europe or USA. But West always want to ~~make~~ keep the developing countries dependent towards them especially for technology and loan.

~~Capital.~~
~~So, developed countries especially always want us to give supply of~~

Technology, Capital $\Rightarrow$ Developed countries always want to have control over this and want others to depend on them for technology and capital.

Too much development means the country is independent, have enough sufficient capital and technology.

That is, if a country is enough developed, it will not rely on the developed nations any more.

Rather it could threaten the dominant position of the developed countries.

So, in order to keep their dominant position unthreatened and ~~have~~ appropriate sufficient amount of surplus value from developing countries, Developed countries determine the level of development for the developing countries.

That optimum rate of development is ensured through the adoption and implementation of ineffective development policies and strategies determined by the developed countries.

i) Regional inequality will increase

According to modernization theory, if every country follows Rostow's model, every country will eventually modernize and develop. ~~In~~ Inequality will reduce with time. ~~The~~ Inequality between regions is a temporary feature. At poor countries develop with time, there will not be much inequality.

But, according to dependency theory,
Inequality is a permanent feature.
Regional inequality is more likely
to increase than decrease
because

The developed world with its inherent
advantages will grow whereas the
poor countries will stagnate.

Dependency theory or World system theory.

Moreover, systematic exploitation is still
continues. Poor countries are supplier of
low priced products or raw materials.
Western countries are supplier of high
valued product.

These things ^{helps} make inequality to
become even more severe.

~~Buying a single high valued product may cost much more than ..~~

Earning with exporting low-valued product takes a lot of time.

But foreign currency outflow very quickly by just buying one single high valued product. Buying. Purchasing capital machine etc also cost foreign currency.

Therefore, inequality can not reduce with time. Rather it grows up.

Rich country remains rich because of its advantageous position. Poor countries can not cover it up because of still continuing systematic exploitation.